

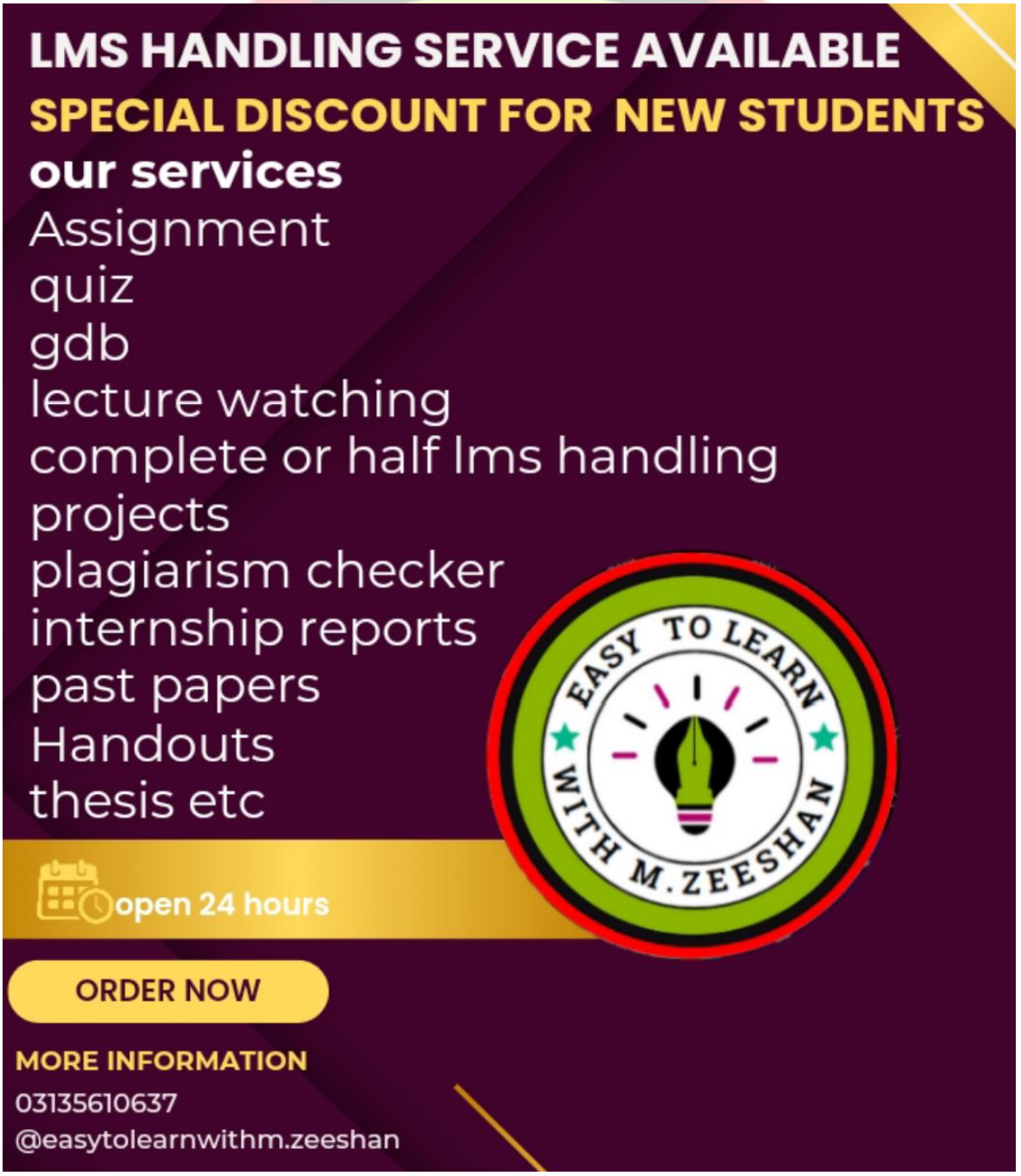

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MGT101 - financial Accounting QUIZ NO 3

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Accumulated depreciation of furniture is a/an _____. Select the correct option
Liability account
Expense account
Asset account
Contra asset account

**Correct Answer: Contra asset account**

**Explanation:** Accumulated depreciation of furniture is recorded as a contra asset account. It offsets the asset account (furniture) by showing the total depreciation expense accumulated over time, reducing the net book value of the asset on the balance sheet.

In a trading concern, salaries of marketing staff is included in _____. Select the correct option.
Cost of goods sold
Preliminary expense
Cost of sales
Operating expense

**Correct Answer: Operating expense**

**Explanation:** Salaries of marketing staff are considered operating expenses because they are incurred as part of the day-to-day operations of the business to promote and sell products. These costs are not directly related to the production or procurement of goods sold.

Which of the following is an example of direct materials cost? Select the correct option.

A piece of wood for the production of chair

Depreciation expenses

Polish and finishing material for chair

Production worker's wages

**Correct Answer: A piece of wood for the production of a chair**

**Explanation:** Direct materials are those materials that are directly traceable to the production of a specific product. A piece of wood used in chair production is a direct material cost, as it becomes a physical part of the finished product.

Which of the following should be debited on return of raw material to supplier in manufacturing concern? Select the correct option.

Voucher payable account

Debtors account

Material account

Purchase account

**Correct Answer: Purchase account**

**Explanation:** When raw materials are returned to the supplier in a manufacturing concern, the purchase account is debited to reverse the original purchase entry. This reduces the overall purchases recorded, reflecting the return of goods.

When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head, it is known as: Select the correct option.

Error of original entry

Error of omission

Error of commission

Error of principle

**Correct Answer: Error of principle**

**Explanation:** An error of principle occurs when the correct debit or credit effect is recorded, but it is applied to the wrong accounting head or main head, violating accounting principles. For example, recording a capital expense as a revenue expense.

Mr. X receives a discount of Rs. 50 from a supplier. The discount is debited to discount allowed account. What will be its effect on net profit? Select the correct option.

Understated by Rs.100Overstated by Rs.100No effect

Understated by Rs.50

**Correct Answer: Understated by Rs. 100**

**Explanation:** The discount received is incorrectly debited to the "Discount Allowed" account, which is an expense account. This results in an understatement of income by Rs. 50 (since the discount should increase income) and an additional Rs. 50 overstatement of expense. Together, this misclassification understates the net profit by Rs. 100.

Discount allowed to a debtor is credited under main head: Select the correct option.

Income

Expenses

Assets

Liabilities

**Correct Answer: Expenses**

**Explanation:** Discount allowed to a debtor is considered an expense because it represents a reduction in the amount receivable from the debtor, and it directly affects the business's financial position by decreasing revenue. Therefore, it is credited under the expenses main head.

Current year's depreciation of furniture is a/an _____. Select the correct option.

Contra asset account

Asset account

Liability account

Expense account

**Correct Answer: Expense account**

**Explanation:** The current year's depreciation of furniture is considered an expense because it reflects the allocation of the asset's cost over its useful life. Depreciation is recorded as an expense in the income statement and reduces the overall profit of the company.

Carriage inward is Debited under main head: Select the correct option.

Liabilities

Assets

Income

Expenses

**Correct Answer: Expenses**

**Explanation:** Carriage inward refers to the transportation cost incurred to bring goods into the business, and it is considered an expense. It is debited under the "Expenses" head, as it directly contributes to the cost of acquiring goods.

A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance; such difference can be due to: Select the correct option.

All of the given options

Over casting of a ledger account

Under casting of a ledger account

Omission of a particular account's balance in trial balance

**Correct Answer: All of the given options**

**Explanation:** A difference in the trial balance can occur due to various reasons, such as overcasting (making an error by adding too much) or undercasting (adding too little) of a ledger account, or omitting a particular account's balance when preparing the trial balance. All these errors can cause discrepancies between the debit and credit totals.

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